FREE FINANCING REPORT

Golf Course Financing Report

Why This Sector Attracts Specialized Capital, What the 2026 Environment Looks Like, and the Metrics That Drive Approvals

Prepared by K2 Commercial Finance

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Why Sponsors Pursue Golf Course Financing

Golf courses combine a genuinely growing participation base with diversified revenue streams and a specialized, purpose-built lending market. That combination — sustained demand growth, multiple revenue sources, and real financing options despite the category's specialization — is exactly why golf course financing remains a viable, if selective, lending category.

- **Rounds played are in a genuine, multi-year growth streak.** National rounds rose 5.3% in the first four months of 2026 alone, continuing a run of strength now in its sixth consecutive year, giving lenders real confidence in demand durability.
- **A large, well-established participation base.** Roughly 28 million American golfers and several hundred million annual rounds nationally support consistent revenue for well-run courses.
- **Diversified revenue streams cushion cash flow.** Greens fees, memberships, food and beverage, events, and pro-shop sales together give well-managed courses multiple, less-seasonal revenue sources.
- **Meaningful membership and enterprise value for well-run operations.** Strong private clubs can command $2,000 to $6,000 or more per active member and EBITDA multiples of 6x to 8x, rewarding disciplined operators.
- **A specialized but genuinely active lending pool.** Dedicated golf and recreational real estate lenders, community banks familiar with the asset class, and private capital sources provide real financing options despite the category's specialization.

That said, lenders scrutinize rounds and membership trend, deferred maintenance and capital needs, and operator experience closely, and general commercial lenders remain largely on the sidelines. A declining rounds trend or significant unaddressed capital needs will stall a request regardless of how attractive the course looks.

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2026 Market Outlook for Golf Course Financing

Golf enters 2026 in a genuinely strong position — rounds played are still climbing, not just holding steady — even as financing for the asset class remains purpose-built and more conservative than many other commercial real estate categories. The following figures outline where the market stands:

- Rounds played are extending a genuine multi-year growth run: national rounds rose 5.3% in the first four months of 2026 versus the same period in 2025 (nearly 6% in April alone), continuing a growth streak golf has now sustained for six consecutive years.

  Source: Golf Datatech Monthly Rounds Played Report, via TurfNet, 2026

- 2025 itself was one of the strongest years on record: national rounds played were still running 1.1% ahead of 2024's record pace through October, putting 2025 on track to become the fourth record year in five years.

  Source: National Golf Foundation, October 2025 National Rounds Played report

- The participation base remains large: roughly 28.1 million Americans play golf, generating an estimated 545 million rounds in 2023, with National Golf Foundation-sourced projections pointing toward roughly 600 million annual rounds by 2025, while junior golfer participation has grown 42% since 2019 to 3.5 million.

  Source: National Golf Foundation-sourced industry data, via Gitnux Golf Industry Statistics 2026

- Supply remains concentrated and largely public: the U.S. has 15,932 golf courses, 73% of them public-access (11,630 courses) versus 5,817 private clubs, with an average course spanning roughly 150 acres and generating about 28,000 rounds annually.

  Source: Gitnux Golf Industry Statistics 2026

- Valuations vary sharply by course type and condition: EBITDA multiples run 4.0x to 7.0x generally (3.0x to 4.0x for struggling courses, 6.0x to 8.0x for high-end resort or well-run private clubs), with price per hole ranging from $150,000 to more than $350,000 depending on course quality.

  Source: DealStream, Golf Course Valuation Rules of Thumb

- Financing structures remain purpose-built but selective: typical golf course loans require a minimum of roughly $1 million, run at 55% to 75% loan-to-value, and carry a minimum 1.50x DSCR requirement — notably more conservative than many other commercial real estate categories.

  Source: Commercial Real Estate Loans, golf course lending guidelines

Bottom line for 2026: Rounds played are genuinely growing, not merely recovering — golf is riding a sixth consecutive year of momentum into 2026. But financing remains purpose-built and conservative, with higher DSCR minimums and tighter leverage than most other commercial real estate categories, reflecting the sector's specialization. Valuation and loan approval still hinge heavily on rounds and membership trend, diversified revenue, and deferred maintenance exposure.

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Critical Financing Metrics for Golf Course Properties

Lenders in this space underwrite rounds, membership, and course condition as closely as the real estate. The following metrics most often determine whether a request moves forward:

1. **Rounds Played Trend**
   The trailing 24- to 36-month trend in rounds played. Sector-wide momentum is a positive backdrop, but individual course trend still matters most. ~28,000 rounds/yr national avg per course

2. **Membership Levels and Retention**
   For private and semi-private clubs, membership count, dues structure, and retention trend.
   $2,000–$6,000+ value per active member

3. **Revenue Diversification by Department**
   The mix of greens fees, membership dues, food and beverage, pro shop, and events.
   25%–40% ancillary revenue (well-diversified)

4. **Course and Facility Condition / Deferred Capital Needs**
   The physical condition of the course, irrigation, and clubhouse, and any near-term capital requirements. Significant deferred maintenance is one of the fastest ways to lose lender confidence.

5. **Operator and Management Experience**
   Documented experience in golf course or club management. Lenders prefer ownership groups with direct experience or a proven third-party management partner.

6. **Debt Service Coverage Ratio (DSCR)**
   Net operating income measured against total annual debt service. Golf course lending typically requires a notably higher minimum than other commercial real estate categories.
   1.50x typical minimum

7. **Loan-to-Value**
   Golf course loans typically run at more conservative leverage than many other property types given the specialized nature of the asset. 55%–75% typical

These metrics form the practical filter that separates golf course financing requests that get funded from those that stall in underwriting.

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Practical Framework & Getting It Right the First Time

Pre-Submission Checklist

Before approaching lenders, confirm:

- [ ] Business financial statements and tax returns (typically 2 to 3 years) are organized and current
- [ ] Rounds played, membership levels, and revenue trends by department are documented
- [ ] Course and facility condition summary, including capital needs, is prepared
- [ ] Operator experience in golf course or club management is clearly presented
- [ ] Membership structure and retention information (if applicable) is documented
- [ ] Property details (acreage, holes, irrigation, clubhouse, amenities) are confirmed
- [ ] Existing debt schedule, entity documents, and organizational structure are ready
- [ ] Personal financial statements and credit information for owners/guarantors are current

Common Reasons Golf Course Financing Requests Underperform or Get Declined

- Declining rounds or membership trend
- Significant deferred maintenance or unaddressed capital needs
- Insufficient operator experience in golf or club management
- Thin or highly seasonal cash flow without adequate reserves
- Submitting to lenders unfamiliar with golf course or recreational-asset underwriting

Final Perspective

Golf course financing in 2026 sits inside a genuinely strong sector — rounds played are still climbing after six straight years of growth — but the lending pool remains specialized, and terms remain more conservative than most other commercial real estate categories. The courses that finance most easily are the ones that can prove a clean rounds and membership trend and a well-managed capital plan, not just a favorable market backdrop.

High-level knowledge of how these loans work is valuable. Turning that knowledge into a funded transaction still requires the right preparation and the right lending relationships.

Getting it right the first time matters. A declining rounds trend, unaddressed deferred maintenance, and mismatched lenders are among the most common reasons otherwise solid golf course financing requests lose time, money, and momentum.

YOUR NEXT STEP

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